pated. Stock indexes were designed to protect investors trading large portfolios. Thus, mutual-fund managers controlling large blocks of stock use index contract "sell" positions as insurance against declining stock prices, much as farmers use cotton futures to protect themselves against falling cotton prices. Conversely, investors planning to buy stock in the future can lock in a price by taking an index contract "buy" position. One reason for the unexpected success of the indexes was the emergence of a new breed of speculators who were willing to be either buyers or sellers, depending on whether they thought the stocks in an index would rise or fall in value.

Just like other stocks and options, the index options were given to the specialist firms to run. All it takes to start up one of these firms are two or more traders, operators of specific stocks or options with proven track records, and a lot of capital. Compared to the big full-service firms that provide their clients with all sorts of amenities, such as research, mailing of monthly statements, and investment seminars, the specialist firms are bare-bones, minimal operations. All they do is trade, and selectively at that.

Under the rules, regulations, and bylaws of the Exchange, the specialist firms are mandated "to conduct fair and orderly markets" and to "be the buyer and seller of last resort" in their allocated product(s). Ours was XMI, the Major Market Index. Even if we had wanted to, we couldn't have taken on any other products, so big did XMI become during the time I was at the AMEX. As it was, the Exchange had to rebuild the XMI pit several times to accommodate the soaring volume; by the time I left, XMI occupied most of the northwest quadrant of the main trading floor.

Because their *entire* business takes place on the floor or in the pits, and their staffs have no dealings with investors other than the order-bearing brokers, the specialist firms have no need to maintain offices away from the Exchange. That's why the investing public seldom hears of them. (The only reason we kept offices at 115 Broadway, as well as at the Exchange, was that Spear Leeds & Kellogg, which